Statistics

Table 12.2 shows general statistics for ascending broadening wedges.

Number found. I found the first pattern in July 1991 and the most recent in July 2019, totaling 767 patterns in 529 stocks. Not all stocks covered the entire time. After removing bear market statistics, we have a similar number of patterns with up and down breakouts.

Reversal (R), continuation (C) occurrence. Upward breakouts from the broadening wedge act as continuation patterns (meaning price trended upward into the start of the pattern). Downward breakouts acted as reversals most often.

Reversal/continuation performance. Mapping performance of reversals and continuations shows that patterns acting as continuations outperformed reversals for both breakout directions. However, performance for downward breakouts is about even.

Average rise or decline. The table shows only bull market statistics, so when the breakout goes against the prevailing market trend, performance suffers. Thus, it is more profitable to trade with the prevailing market trend instead of against it. That means trading upward breakouts in a rising market.

Standard & Poor's 500 change. From the date of the wedge's breakout to the ultimate high or low, I checked the performance of the index. You'll notice that the index didn't fare as well as the chart pattern.

You might also conclude that the general market helped boost the performance of the individual stocks. The boost was higher in bull markets (with the index rising 11%, helping to achieve a 41% average chart pattern rise).

Days to ultimate high or low. Upward breakouts took their sweet time (about 8 months) rising 41%. Downward breakouts took only about 7 weeks to reach the ultimate low. Checking the two velocities, we find that downward breakouts reach the ultimate low faster than upward breakouts reach the ultimate high.

How many change trend? This measures how many patterns see price rise or fall more than 20%. For upward breakouts, I consider a value above 50%